

approved under August 27, 2024, over two years after the complaint in this action was filed. Thus, the pre- post-August 22 distinction did not become critical under August of 2024, rendering this case more like *Best Buy* and *Cash Call* than it is like *First American Title*.

The document requests, however, are much broader than the special interrogatories. While understandably relevant to the merits of the case, they are far too broad to be justified by the search for a new plaintiff. If a new plaintiff is found, the matter will then be different. This motion is **denied**.

Because plaintiff did not prevail on this motion, **sanctions will not be awarded**. Defendant did not seek sanctions, and in any event, each side's position was substantially justified.

4. 9:00 AM CASE NUMBER: C23-02194
CASE NAME: STEPHANIE SENNA VS. DOES 1 THROUGH 10, INCLUSIVE
***HEARING ON MOTION IN RE: FOR PRELIMINARY APPROVAL OF CLASS ACTION AND PAGA SETTLEMENT (CONTINUED FROM 09.25.25, 10.30.25, 12.04.25 & 12.11.25)**
FILED BY:

TENTATIVE RULING:

Appearances required (by zoom is sufficient), pending submission of signed agreement.

5. 9:00 AM CASE NUMBER: C23-02821
CASE NAME: LESLEY HOWARD VS. LIBERTY ASSOCIATES GROUP, LLC
***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL OF CLASS ACTION AND PAGA SETTLEMENT**
FILED BY: HOWARD, LESLEY

TENTATIVE RULING:

Plaintiff Lesley Howard moves for preliminary approval of her class action and PAGA settlement with defendant Liberty Associates Group, LLC.

A. Background and Settlement Terms

The original complaint was filed by Plaintiff on November 6, 2023, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. A First Amended Complaint adding PAGA claims was filed on February 5, 2024. A Second amended Complaint was filed on August 21, 2025 (pursuant to agreement of the parties) expanding the claims somewhat. It is the operative complaint.

The settlement would create a gross settlement fund of \$1 million. The class representative payment to plaintiff would be \$10,000. Attorney's fees would be \$333,333.33 (one-third of the settlement). Litigation costs would not exceed \$27,500. The settlement administrator's costs would be up to \$24,000. PAGA penalties would be \$100,000, resulting in a payment of \$75,000 to the LWDA and \$25,000 to the aggrieved employees. The net amount paid directly to the class members would be about \$505,166.67. The fund is non-reversionary. Based on the estimated class size of 2,174, the average net payment for each class member is approximately \$232.

The proposed settlement would certify a class of all current and former non-exempt employees

employed by Defendant during the class period.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable.

The proposed settlement provides that checks undelivered or uncashed 180 days after mailing will be voided, and the funds will be provided to the State Controller's Unclaimed Property Fund.

The settlement contains release language covering "any and all causes of action, claims, rights, damages, and penalties under California law that are alleged in the Second Amended Complaint in the action or that could have been alleged based on the facts alleged in the Second Amended Complaint[.]" (Settlement, Par. 3B.) Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal written discovery was undertaken, and a data expert was retained for mediation. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel attest that they have analyzed the value of the case, and that the result achieved in this litigation is fair, adequate, and reasonable. The moving papers include an estimate of the potential value of the case, broken down by each type of claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include "stacking" of violations, the law may only allow application of the "initial violation" penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory."])

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement." (See also *Amaro v. Anaheim Arena Mgmt., LLC*, *supra*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees[.]" (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, "[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees

Plaintiff seeks one-third of the total settlement amount as fees, relying on the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval. Counsel are directed to prepare a lodestar fee estimate for the motion for final approval.

The reasonableness of litigation costs and the settlement administrator's fees will be considered at final approval.

Similarly, the requested representative payment of \$10,000 for plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

D. Conclusion

The settlement includes claims made in the May 2, 2025, PAGA notices, which are encompassed in the Second Amended Complaint. Because one set of LWDA notices in question were filed before June 19, 2024, while the other was filed after that date, penalties attributed to the earlier notice must be allocated 25% to the aggrieved employees, while those attributed to the later notice must be allocated 35% to the aggrieved employees. (Labor Code §2699(m), (v)(1).) The parties must agree on

an allocation.

Subject to resolution of the penalty allocation, the Court would find that the agreement is sufficiently fair, reasonable, and adequate, to justify preliminary approval, and grant the motion. **Counsel are directed to appear (by zoom is sufficient) in order to address a schedule for resolving the issue.**

If the motion is granted, counsel will be directed to prepare an order reflecting this tentative ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

6. 9:00 AM CASE NUMBER: C24-00016
CASE NAME: NICHON ROBERSON VS. BL HOMES, INC
***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL FOR PLTF ROSALYN ENFIELD**
FILED BY:

TENTATIVE RULING:

The motion is **granted**. Counsel is directed to serve the order relieving counsel in compliance with CRC 3.1362(d). Counsel is not formally relieved until the order is served on the client and proof of service is filed with the court.

7. 9:00 AM CASE NUMBER: C24-00016
CASE NAME: NICHON ROBERSON VS. BL HOMES, INC
***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL FOR PETER ROBERSON**
FILED BY:

TENTATIVE RULING:

The motion is **granted**. Counsel is directed to serve the order relieving counsel in compliance with CRC 3.1362(d). Counsel is not formally relieved until the order is served on the client and proof of service is filed with the court.

8. 9:00 AM CASE NUMBER: C24-00492
CASE NAME: THELMA JACKSON VS. JOHN PAULDING
***HEARING ON MOTION IN RE: CONFIRM AND/OR IMPOSE LIEN ON SHARE OF JOHN AND TIMOTHY PAULDING IN PROCEEDS OF SALE (CONTINUED FROM: 12/11/2025)**
FILED BY:

TENTATIVE RULING:

See line 9.

9. 9:00 AM CASE NUMBER: C24-00492
CASE NAME: THELMA JACKSON VS. JOHN PAULDING
***HEARING ON MOTION IN RE: CONFIRM REFEREE REPORT AND TO ALLOCATE SALE PROCEEDS**